

## THE SESSION • POST-CLOSE READ

# Discipline, *Not a Decision*

*Kevin Warsh's first Jackson Hole keynote put price stability first and moved September hike odds toward even; the AI complex returned part of Thursday's advance. The Growth Portfolio returned -2.52% against IUSG at -0.58%; the Dividend Strategy returned -0.37% against DVY at -0.03%.*

S&amp;P 500 ▼ 0.27%

NASDAQ ▼ 0.54%

DOW ▼ 0.02%

VIX 14.39

BRENT ▼ \$88

## DIVIDEND STRATEGY

▼ TRAILED DVY + SPY

## -0.37%

1-DAY

|     |                        |        |
|-----|------------------------|--------|
| FCI | <div><div></div></div> | -0.37% |
| DVY | <div><div></div></div> | -0.03% |
| SPY | <div><div></div></div> | -0.25% |

YTD +22.26% vs DVY +17.87% · SPY +13.41%

## GROWTH PORTFOLIO

▼ TRAILED IUSG

## -2.52%

1-DAY

|      |                        |        |
|------|------------------------|--------|
| FCI  | <div><div></div></div> | -2.52% |
| IUSG | <div><div></div></div> | -0.58% |

YTD +23.32% vs IUSG +14.14%

## THE SESSION

**K**evin Warsh used his first Jackson Hole keynote to put price stability back at the center of Federal Reserve policy, and the market spent the afternoon repricing what that means for September. Speaking at ten o'clock, the chairman told the symposium that with the twelve-month PCE index at 3.7%, inflation remains the mandate's binding constraint — he framed himself as “committed to a discipline, not to a decision” — while declining to offer forward guidance in either direction. The bond market heard a tightening bias: short-maturity Treasury yields rose several basis points, the dollar index reached a one-week high, and market-implied odds of a September rate increase moved toward even from roughly a third before the address. Equities absorbed the message in stages, holding early gains through midday before fading into the close — the S&P 500 finished off 0.27%, the Nasdaq down 0.54%, the Dow essentially unchanged. The VIX settled at 14.39, a reminder that this was a repricing, not a rupture.

The pressure concentrated where the week's gains had concentrated. Marvell entered its report up more than 180% on the year, delivered a beat-and-raise — record revenue of \$2.74 billion and a fiscal-2028 target lifted to roughly \$18 billion — and still closed down 10.28%, the market's verdict on a guide that merely edged past consensus and on Google custom-silicon economics that arrive in fiscal 2029. Nvidia returned 4.61% of Wednesday's post-earnings advance amid a reported pause in parts of its cloud-financing program, and the sympathy list ran through the sleeve's semiconductor holdings: LRCX -5.24%, FTNT -3.92%, ADI -3.40%, CRDO -3.12%, AMD -2.33%, TSM -2.26%. The exception proved the pattern — ServiceNow added another 4.53% as the enterprise-software re-rating that began with Salesforce's report extended into a second session, the software layer holding its bid while the compute layer digested.

## *A hawkish chairman resets the price of patience; he does not reset the earning power of the businesses we own.*

The rate message reached well beyond technology. Rate-sensitive expressions adjusted from utilities to financial platforms — EIX -4.79%, SOFI -6.00%, HOOD -5.01%, SYF -2.35% — and the non-yielding assets took it hardest: gold fell as much as 3% intraday, carrying AEM down 4.31%, while Bitcoin's drift toward the high-\$70,000s pressed the digital-asset ETFs (IBIT -3.07%, ETHA -2.65%) and the miners harder still. The Dividend Strategy held its decline to 0.37%, trailing DVY at -0.03% and SPY at -0.25% as the semicap and industrial drag

from LRCX, FAST, and CAT outweighed gains in SYK +2.66%, SPGI +1.72%, and ADP +0.98%. The Growth Portfolio returned -2.52% against IUSG at -0.58% — the cost of compute-layer concentration on a giveback day — and the year-to-date standing absorbs it comfortably: the Dividend Strategy holds +22.26% against DVY's +17.87%, a +4.39-point spread on its lead benchmark, and the Growth Portfolio holds +23.32% against IUSG's +14.14%, a spread of +9.18 points. One inflation-first Friday changes none of that arithmetic.

### FCI HOLDINGS • NOTABLE MOVERS

#### WINNERS

##### NOW +4.53%

GROWTH

Extended the enterprise-software re-rating for a second session as capital kept rotating toward the workflow layer of the AI trade even while the compute layer gave ground.

##### SYK +2.66%

DIVIDEND

Led the sleeve as buyers rotated toward defensive med-tech quality on a day the AI complex repriced; no single-name catalyst.

#### DECLINERS

##### MRVL -10.28%

GROWTH

Beat and raised, but the quarter-ahead guide only edged past consensus after a 180%-plus year-to-date advance, and the larger Google custom-silicon economics land in fiscal 2029. Investor Day October 6.

##### MARA -10.11%

GROWTH

Bitcoin's drift lower on the hawkish rate repricing bore hardest on the leveraged mining expressions of the digital-asset complex.

##### HUT -8.85%

GROWTH

Traded down with the mining complex as higher-for-longer rate expectations pressured digital assets across the board.

##### ATAT +2.33%

GROWTH

Advanced with Chinese consumer names; complex-level dynamics rather than a company-specific event.

##### SPGI +1.72%

DIVIDEND

Financial-data and index franchises drew the same defensive-quality bid; steady accumulation rather than a single catalyst.

##### LRCX -5.24%

DIVIDEND

Semiconductor capital equipment returned Thursday's advance as the AI complex adjusted to the inflation-first rate message.

##### NVDA -4.61%

GROWTH

Gave back part of Wednesday's post-earnings advance; a reported pause in parts of its cloud-financing program added a headline to the adjustment.

##### AEM -4.31%

GROWTH

Gold fell as much as 3% intraday after Warsh's inflation-first message lifted the dollar and hike odds; producers traded lower with bullion.

### HOLDINGS NEWS

**Marvell: a beat-and-raise, repriced.** Marvell reported record fiscal second-quarter revenue of \$2.74 billion, up 37% year over year, with data-center revenue of \$2.17 billion — 79% of sales, up 46% — and earnings of \$0.94 against a \$0.93 consensus. Management raised the full-year outlook to roughly \$12 billion, lifted the fiscal-2028 target to about \$18 billion, and guided the current quarter to roughly 50% growth. The stock's -10.28% session was a statement about the entry

price, not the business: shares carried a 180%-plus year-to-date advance into the print, the third-quarter guide only edged past consensus, and the Google custom-silicon agreement's larger economics arrive in fiscal 2029, with detail deferred to the October 6 Investor Day.

**Nvidia: financing discipline, not demand weakness.** The Wall Street Journal reported that Nvidia has paused parts of its AI Compute Partnership, a program built to help smaller cloud providers finance

Nvidia-powered infrastructure through revenue-sharing arrangements, after some partners objected to the company’s influence over customer selection and internal voices raised regulatory concerns. The  $-4.61\%$  session returned a portion of Wednesday’s post-earnings advance — a

quarter that showed revenue of \$96.2 billion, up 106% year over year — and reads as position adjustment around a headline rather than any change in the demand picture the print itself established.

YEAR-TO-DATE STANDING

DIVIDEND STRATEGY

+22.26%

vs DVY +17.87% / SPY +13.41%

Spread vs DVY (lead benchmark) +4.39 pts

GROWTH PORTFOLIO

+23.32%

vs IUSG +14.14%

Spread vs IUSG (lead benchmark) +9.18 pts